

Trammell Crow's Soho Tower Shows Development Is Alive Only for Those With Cheap Land and Patient Capital

A 99-year ground lease and \$14.7M basis let Trammell Crow build where most developers cannot pencil.

The most important number in Trammell Crow's 130 Lafayette Street project is not the 99 rental units or the 273-foot height. It is the \$14.7 million land basis secured through a 99-year ground lease. That number is why this building is rising past the halfway mark in mid-2026 while so many other New York City development sites sit idle. It is not that Trammell Crow is braver than other developers.

It is that its cost of entry is so low the underwriting works even with construction financing at 8% plus and a rent growth outlook that no longer assumes double-digit annual increases. The project, designed by Marvel and located at the intersection of Howard and Canal Streets, will span roughly 108,000 square feet and deliver 99 rental units with a small retail component. A portion of the units will be affordable.

Completion is expected in the first quarter of 2028. On its face, this is a straightforward construction update. But the capital story underneath is anything but routine. Ground leases are not a new tool in New York development. But their role in the current cycle deserves attention. When land prices peaked in 2021 and 2022, developers who bought fee-simple sites at those levels are now trapped.

Their basis is too high to support a construction loan at current interest rates, and their equity is underwater before a single foundation is poured. The only way to move forward is to write a larger equity check or find a joint venture partner willing to accept lower returns. Many have chosen to wait. Trammell Crow chose a different path.

By acquiring a ground lease rather than fee ownership, it avoided the upfront land cost that is crushing most development pro formas. The \$14.7 million purchase price is not a market signal that Soho land is cheap. It is a signal that the developer structured the deal to minimize the capital required at the start of the project. The ground lease structure also shifts the risk profile.

The developer does not own the land, so it does not bear the full downside of a valuation reset. The landowner takes that risk in exchange for a long-term income stream. Trammell Crow is effectively renting the right to build, which compresses the equity needed and improves the project's levered return if rents materialize as underwritten. This is not a vote of confidence in the broader New York development market.

It is a vote of confidence in this specific capital structure. The project's location helps. Canal Street subway access to 11 train lines gives the building a transportation advantage that supports rent premiums. The Soho neighborhood continues to attract tenants willing to pay for proximity to retail, dining, and transit.

But even with that tailwind, the project would be difficult to finance if Trammell Crow had paid market-rate fee simple for the land. The construction financing market in 2026 remains selective. Regional banks have pulled back. National banks are focused on relationships with top-tier sponsors. Private credit lenders are active but pricing for risk.

A developer with a \$14.7 million land basis and a blue-chip sponsor like Trammell Crow can get a loan. A developer with a \$50 million land basis and a less established track record cannot. The project also benefits from timing. By targeting a Q1 2028 completion, Trammell Crow is betting that interest rates will be lower and rent growth will have stabilized by the time the building leases up.

That is a reasonable bet, but it is still a bet. If rates stay elevated or the economy softens, the project's debt service coverage will be tighter than planned. Who benefits from this deal? Trammell Crow gets a new asset in a prime location with a low basis and a credible path to completion. The ground lessor gets a long-term income stream with no development risk.

Future tenants get a well-located building with amenities that include a fitness center, coworking lounge, and demonstration kitchen. Who is exposed? Any lender providing construction financing is taking completion and lease-up risk in a market where construction costs remain elevated and rent growth has slowed. The affordable housing component adds regulatory complexity but also provides some political cover and potential tax benefits. What should the market watch next?

The completion of 130 Lafayette will be a test of whether Soho can absorb new rental supply at the rents needed to support current construction costs. If the building leases quickly at pro forma rents, it will encourage other developers with low-basis sites to move forward. If it struggles, it will confirm that even the best locations require a capital structure that most developers cannot replicate.

The deal is not proof that New York development is back. It is proof that development is possible only for those who found a way to buy land cheaply before the cycle turned. Everyone else is still waiting for a basis reset that may not come.

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To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co